However, in the sociopolitical systems of China, India and the Muslim world, credit played only a secondary role. Merchants and bankers in the markets of Istanbul, Isfahan, Delhi and Beijing may have thought along capitalist lines, but the kings and generals in the palaces and forts tended to despise merchants and mercantile thinking. Most non-European empires of the early modern era were established by great conquerors such as Nurhaci and Nader Shah, or by bureaucratic and military elites as in the Qing and Ottoman empires. Financing wars through taxes and plunder (without making fine distinctions between the two), they owed little to credit systems, and they cared even less about the interests of bankers and investors.

In Europe, on the other hand, kings and generals gradually adopted the mercantile way of thinking, until merchants and bankers became the ruling elite. The European conquest of the world was increasingly financed through credit rather than taxes, and was increasingly directed by capitalists whose main ambition was to receive maximum returns on their investments. The empires built by bankers and merchants in frock coats and top hats defeated the empires built by kings and noblemen in gold clothes and shining armour. The mercantile empires were simply much shrewder in financing their conquests. Nobody wants to pay taxes, but everyone is happy to invest.

In 1484 Christopher Columbus approached the king of Portugal with the proposal that he finance a fleet that would sail westward to find a new trade route to East Asia. Such explorations were a very risky and costly business. A lot of money was needed in order to build ships, buy supplies, and pay sailors and soldiers – and there was no guarantee that the investment would yield a return. The king of Portugal declined.

Like a present-day start-up entrepreneur, Columbus did not give up. He pitched his idea to other potential investors in Italy, France, England, and again in Portugal. Each time he was rejected. He then tried his luck with Ferdinand and Isabella, rulers of newly united Spain. He took on some experienced lobbyists, and with their help he managed to convince Queen Isabella to invest. As every schoolchild knows, Isabella hit the jackpot. Columbus' discoveries enabled the Spaniards to conquer America, where they established gold and silver mines as well as sugar and tobacco plantations that enriched the Spanish kings, bankers and merchants beyond their wildest dreams.